Thus, an entrepreneur must stay ahead of such disruptive forces to have an understanding of the demand. The bottom line while analyzing substitutes and disruptions is that the business/firm with a stronger value proposition for the customers will attract demand.

Other factors that indicate demand include the **pricing within the industry and its impact on demand, based on price elasticity.** An industry's growth can be in terms of value or volume or both.

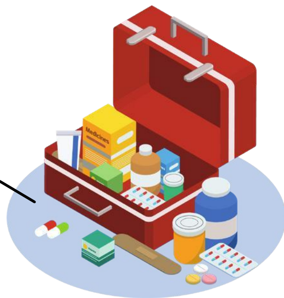
- Industries with high price elasticity find it difficult to increase prices and generally grow only in volume terms.

**Consumer Electronics**

Most consumer electronics grow in volume terms without much increase in price. They can increase prices only when a new innovative product is launched.

- Industries with low elasticity of price can keep increasing prices and yet find volume growth.

Inelastic items such as medicines can grow in volume as well as value terms over time.




**Medicines**

The pricing power is evaluated along with the value proposition so that the industry offers a stronger value proposition over its substitutes.

Another factor that affects the long-term demand for a product is the **change in industry dynamics.** For instance, more players entering a new industry causes more advertisement and thus increases long-term demand for the product.